

Garuda Construction and Engineering Ltd

Concall-Tracker report · Screener ticker GARUDA (NSE/BSE: 544271) · listed 15 Oct 2024 · no concall transcripts — global web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Garuda is a **civil construction contractor (EPC)** based in Mumbai. Property developers hire it to actually build residential towers, commercial buildings and infrastructure projects — it manages the work and hires sub-contractors and equipment rather than owning much itself. In plain terms: it is a builder-for-hire in the Mumbai region, and historically most of its work has come from developers within its own promoter group.

Figure	Value	Plain-English read
Market capitalisation	₹1,596 cr (price ₹172)	What the whole company is worth. The share has ranged ₹130–249 over the past year and sits in the middle.
Price-to-earnings	11.7x ; dividend token	About 12 times last year's profit — cheap on the face of it for a business growing this fast, which is usually the market signalling doubt about the durability of the earnings.
Q1 FY27 revenue (Jun'26 qtr)	₹175.4 cr, up 40% YoY	Sales in the June 2026 quarter against ₹125 cr a year earlier — a record, and the eighth consecutive quarter of growth.
Q1 FY27 operating profit	₹56 cr, margin 32%	Read this number carefully. A 32% operating margin in civil construction is roughly two to three times what large listed EPC contractors earn (typically 10–15%). The explanation matters, and is discussed below.
Q1 FY27 net profit	₹41.5 cr, up 48% YoY	Profit after tax against ₹28 cr. Earnings per share ₹4.46 for the quarter.
FY26 (full year)	₹531 cr revenue, ~₹122 cr profit	Revenue more than doubled from FY25's ₹226 cr (up 136%), with operating margin of 31%.
Order book	~₹4,877 cr (Q4 FY26)	Work contracted but not yet done — roughly nine times a full year's revenue. It was about ₹1,408 cr at the time of the IPO in September 2024, so it has grown about 3.5 times in under two years.
Return on capital	ROCE 41.8%; ROE 31.2%	Exceptionally high — but this follows arithmetically from the 32% margin and an asset-light model, so it inherits whatever doubts attach to the margin.
Depreciation	Effectively nil	The company owns almost no plant or machinery; equipment and labour are sub-contracted. That is a genuine reason returns look high — there is very little capital employed to divide into.
IPO	₹264.1 cr, Oct 2024	Subscribed about 7.6 times; listed 15 October 2024. The company has therefore been public for under two years.

The central issue: who Garuda's customers are

Garuda's offer documents disclosed that revenue from construction projects for its **own group companies and promoters** was **100.00%** in the stub period to 30 April 2024, **44.82%** in FY24, **94.62%** in FY23 and **86.65%** in FY22. Related-party transactions were reported at roughly **43%** of the most recently disclosed year's revenue. Separately, **the top ten clients account for 100% of revenue**, and they are mainly promoter-linked entities.

Why this matters for every other number in this report. When a contractor bills its own group's developers, the contract price is set within the family rather than won in competition. That is legal and common for a developer's in-house construction arm, but it means the 32% margin, the 41.8% return on capital and the 11.7x earnings multiple cannot be read the way you would read them at an independent contractor. Until a large majority of revenue is demonstrably third-party and still earns these margins, the profitability is **not market-tested**. This does not make the earnings fake; it makes them unproven at arm's length.

2. Concall coverage

No concall transcripts were available on Screener for this company — this report is based on a global web deep-dive. Screener lists exactly **one** investor-call entry (October 2025) in the company's entire listed life, and carries no transcript for it. For a company that has been public since October 2024, roughly doubled its revenue, and carries a well-documented related-party question, one investor call in two years with no accessible record is a serious gap.

Sources used: the IPO prospectus and offer documents (September–October 2024) for the related-party disclosures, order book and business model; Q1 FY27 results and published coverage (July–August 2026); Q4 and FY26 results and coverage; exchange filings on order wins, including the Orbit Ventures award; and Screener.in standalone and consolidated financial statements.

2b. Latest update highlights — Q1 FY27 (results July 2026) ★

- **Another record quarter:** revenue ₹175.4 cr, up 40% year-on-year, net profit ₹41.5 cr, up 48%, with operating margin steady at 32%. The shares rose about 11% on the result. This is the eighth straight quarter of sequential or year-on-year growth since listing.
- **The order book is now the headline:** approximately ₹4,877 cr at the end of FY26, against roughly ₹1,408 cr disclosed at the time of the IPO — a 3.5-fold increase in under two years, and about nine years of revenue at the FY26 run-rate. Management frames this as strong visibility for FY27 across residential, commercial and infrastructure work.
- **The most important single data point is a small order.** Garuda won a ₹143.96 cr contract from **Orbit Ventures** for civil work on the Shikhar-B redevelopment project at Oshiwara, Mumbai — and the filing explicitly states it involves **no related-party transaction**. That is direct evidence the company can win work outside its own group, which is precisely the thing that needs proving.
- **FY26 was transformational on paper:** revenue ₹531 cr against ₹226 cr, up 136%, with profit roughly ₹122 cr against ₹50 cr. Margins held above 30% throughout the doubling.
- **What is missing from the public record:** no quarterly disclosure of the current related-party share of revenue could be found, no breakdown of the ₹4,877 cr order book between group and third-party work, and no earnings-call transcript. The single most useful number for valuing this company — how much of the order book is arm's-length — is not publicly available.

2c. Business mix & capacity (quick facts)

Domestic vs export: 100% domestic, and heavily concentrated in the **Mumbai Metropolitan Region (MMR)**. The Orbit Ventures contract filing confirms execution "entirely within India". This is a single-city-region construction business, so it is directly exposed to the Mumbai real-estate cycle and to redevelopment approvals.

Customer mix: the defining characteristic. Historically dominated by promoter-group developers — between 44.8% and 100% of revenue depending on the period disclosed — with the top ten clients making up all revenue. The company states it is diversifying into third-party contracts and aiming for larger roles; the Orbit Ventures win is the clearest evidence so far, but at ₹144 cr it is roughly 3% of the order book.

"Capacity" utilisation: Garuda is deliberately **asset-light** — depreciation is effectively nil because it owns almost no plant and machinery, sub-contracting equipment and labour instead. So there is no factory utilisation

figure to quote; capacity here means project-management bandwidth and access to sub-contractors. The practical constraint on converting a ₹4,877 cr book is execution manpower and the pace at which developer clients release sites, neither of which is disclosed. The upside of the model is that growth needs very little capital, which is the real reason return on capital reads at 41.8%.

3. Earning Trigger thesis ★

The stated driver is straightforward: **a ₹4,877 cr order book — about nine years of current revenue — being executed at 30%-plus margins by an asset-light contractor in India's most expensive property market.** On delivery, the record so far is genuinely impressive: revenue went from ₹226 cr in FY25 to ₹531 cr in FY26 and the June 2026 quarter grew 40% year-on-year, with margin held above 30% throughout. The order book has more than tripled since the IPO. If those contracts convert at anything like the current margin, the earnings ahead are large relative to a ₹1,596 cr market value — which is why the stock trades on under 12 times earnings and yet the market appears unconvinced. The reason for that scepticism is the same reason this thesis cannot be graded a clear Yes: **the margins have not been tested in open competition.** Revenue has come predominantly from the promoter group's own developers, where the price is negotiated internally. The single most valuable fact for an outside shareholder — what share of the ₹4,877 cr book is third-party — is not disclosed. The Orbit Ventures award shows the company *can* win outside work; it does not yet show it can win a lot of it at 32% margins.

Trigger	What the record shows	Evidence so far	Horizon	Strength
Order book conversion	~₹4,877 cr at Q4 FY26, up from ~₹1,408 cr at IPO — roughly 9× annual revenue	Converting fast so far: FY26 revenue +136%, Q1 FY27 +40%. The book is real and growing faster than it is being consumed	Multi-year	Strong (size)
Sustained 30%+ margins	OPM 29–35% every quarter since listing	Consistent — but two to three times the industry norm, and earned largely on related-party contracts. Not independently validated	Ongoing	Unverified
Third-party diversification	Stated priority; ₹143.96 cr Orbit Ventures order won with no related-party transaction	The right kind of evidence, but small — roughly 3% of the order book. No disclosure of the overall third-party share	FY27–FY29	Moderate
Asset-light model	Near-zero depreciation; equipment and labour sub-contracted	Genuine and durable. It is why growth consumes little capital and why ROCE reads at 41.8%	Structural	Strong
Mumbai redevelopment cycle	MMR residential, commercial and redevelopment work	A real multi-year opportunity — but a single-region bet, exposed to one property cycle and one approvals regime	Multi-year	Moderate
Related-party dependence (risk)	Group-company revenue was 100% / 44.8% / 94.6% / 86.7% across the four disclosed periods; ~43% most recently	The core unresolved question. It makes margin, ROCE and the earnings multiple non-comparable to independent contractors	Now	Key risk
Client concentration (risk)	Top ten clients = 100% of revenue	Extreme by any standard. Losing one or two relationships would be material	Structural	Key risk

Property-cycle exposure (risk)	Entirely MMR real estate	Construction volumes follow developer launches; a Mumbai slowdown hits both the group clients and the third-party pipeline at once	Cyclical	Structural risk
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4. Management Consistency scorecard

Read this as **severely limited**. The company listed in October 2024, has one listed investor call with no accessible transcript, and publishes no quarterly related-party or order-book composition detail that could be found. This grades filings and reported numbers only.

Period	What was signalled	What actually happened	Verdict
FY25 (first listed year)	Grow revenue and execute the order book	Revenue ₹226 cr against ₹154 cr in FY24; profit ₹50 cr	Delivered
FY26	Continue scaling execution	Revenue ₹531 cr, up 136%; profit ~₹122 cr, up ~145%; margin held above 30%	Delivered (far over)
Q1 FY27	—	Revenue +40%, profit +48%, margin steady at 32%. Eighth consecutive quarter of growth	Delivered
Since IPO	Build the order book	~₹1,408 cr (Sep 2024) → ~₹4,877 cr (Q4 FY26) — more than tripled	Delivered
Since IPO	Diversify away from related-party work into third-party contracts	Partially evidenced: the ₹143.96 cr Orbit Ventures award is explicitly non-related-party. But it is ~3% of the book, and no overall third-party share is disclosed	Partly / unverifiable
Ongoing	—	No disclosure of the current related-party revenue share , and no split of the ₹4,877 cr order book between group and third-party work — the two numbers that would settle the main question	Disclosure gap
Oct 2024 → Aug 2026	—	One investor call listed in nearly two years as a public company, with no transcript available	Disclosure gap

Narrative drift: There is no drift, because there is barely a narrative on the public record to drift from. What can be verified is that the numbers have gone the right way, emphatically and without interruption: eight quarters of growth, revenue up 136% in FY26, margins held above 30% through a doubling of scale, and an order book that has more than tripled since listing. On pure delivery this is one of the stronger records in this coverage. But the assessment a shareholder actually needs to make about Garuda is not whether it grew — it plainly did — but whether the profitability is real in a competitive sense, and on that the company has published almost nothing. The related-party dependence was disclosed properly at IPO, to the company's credit, with period-by-period percentages. Since listing, no comparable update has appeared: no quarterly related-party share, no split of the order book between group and outside clients, and no earnings-call transcript in which an analyst could ask. The one genuinely reassuring act was winning the Orbit Ventures contract and explicitly stating in the filing that it involved no related party — that is the company answering the right question, just at a very small scale. A management that discloses the awkward fact at IPO and then stops updating it is not being deceptive, but it is leaving the central doubt about its own business unaddressed for two years.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

The scale of the opportunity is not in doubt. An order book of roughly ₹4,877 cr against ₹531 cr of annual revenue is about nine years of visibility, it has more than tripled since the IPO, and the company is converting it fast — revenue up 136% in FY26 and 40% in the June quarter, with margins holding above 30% throughout. The asset-light model means all of this growth needs very little capital, which is why returns on capital read above 40%. Judged purely on momentum this would be a clear Yes. It is not, because the economics have not been tested where it counts. Between 44.8% and 100% of revenue across the disclosed periods came from the promoter group's own developers, the top ten clients are 100% of revenue, and a 32% operating margin is two to three times what independent listed contractors earn for the same work. Those facts do not sit together comfortably, and the company has not published the one number that would resolve them — how much of the ₹4,877 cr book is genuinely third-party. The ₹143.96 cr Orbit Ventures win, explicitly flagged as involving no related party, is exactly the right evidence and points the right way; it is simply too small, at about 3% of the book, to settle the question. This is a large, live, fast-converting driver whose margin quality remains unproven. If third-party work scales at similar margins, it becomes a Yes quickly.

Management consistent? → MAYBE

On execution the record is genuinely strong and should be said plainly: since listing in October 2024 the company has grown revenue in every quarter, more than doubled it in FY26, more than tripled the order book, and held margins above 30% while doing so. Nothing promised at the IPO on growth has been missed. Management also deserves credit for two acts of disclosure — setting out the related-party dependence honestly and period-by-period in the offer documents, and then explicitly stating in the Orbit Ventures filing that the contract involved no related party, which is the company voluntarily addressing its own biggest criticism. Against that, the public record is close to silent where it matters most. There has been **one investor call in nearly two years as a listed company, with no transcript available**; no quarterly update on the related-party share of revenue; and no breakdown of the order book between group and outside clients. For most companies a disclosure gap is a secondary criticism. Here it is the primary one, because the entire question of whether Garuda's 32% margins are a competitive achievement or an internal transfer price depends on numbers only management holds. Delivery has been excellent; accountability has not been offered. That combination is a Maybe, and it would move either way fast if the company started disclosing the third-party split.

Prepared from public sources on 31 Aug 2026. No concall transcripts are available on Screener for this company — one investor-call entry is listed (Oct 2025) with no transcript file — so this is a global web deep-dive: the IPO prospectus and offer documents (Sep–Oct 2024) for related-party disclosures and business model, Q1 FY27 and FY26 results and coverage, exchange filings on order wins including the Orbit Ventures award, and Screener.in standalone and consolidated financial statements. No management wording is quoted verbatim because none is publicly available. Related-party percentages are as disclosed by the company in its offer documents for the periods stated. **This is not investment advice. Do your own due diligence.**